

4.

Deactivate when finished: When you're done working on the project, simply type:

5.
deactivate

6.

This returns you to the global Python environment.

?? Did You Know? Jane Street, one of the world's largest quantitative trading firms, uses isolated environments for each of their trading strategies. This allows them to update libraries for one strategy without risking impacts to others. Their automated testing system runs each strategy in its specific environment before and after any library updates, catching potential issues before they affect real trading.

Alternative: Conda Environments

If you installed Anaconda, you have access to an alternative system called Conda environments, which offers additional features particularly useful for scientific and financial computing:

1. # **Create** a new Conda environment:
2. conda create --name mytrading python=3.9
- 3.
4. # **Activate** the environment:
5. conda activate mytrading
- 6.
7. # **Deactivate** when finished:
8. conda deactivate

Conda has the advantage of handling not just Python packages but also external C and Fortran libraries that many scientific computing packages depend on, making it popular in quantitative finance.

Essential Libraries: The Algorithmic Trader's Toolkit

With Python installed and your development environment set up, it's time to install the libraries that will power your trading strategies. Think of these libraries as specialized tools in your workshop, each designed for specific aspects of financial analysis and trading.